

Japan Semiconductors

Japan Semis: Silicon wafers - The last domino finally falling into shortage?



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Since our prior update on the silicon wafer industry, we have seen more positive developments. Our raw wafer supply-demand model is available for download [here](#).

Raw wafer demand growth is accelerating, led by a stronger memory and logic outlook. We raise our global raw wafer demand forecast to a 14% CAGR in 2025-28, vs. 12% previously, driven by higher DRAM and logic fab capacity. Specifically, we see global DRAM wafer demand growth at 16% (driven by fab capacity), NAND at 14% (driven by CBA wafer stacking; see report [NAND hybrid bonding](#)), and logic demand growth at 12% (driven by leading edge capacity). Excluding China, we now see the raw wafer market entering shortage from late 2027, with widening gap in the subsequent years.

Supply-side changes are incrementally positive, as global ex-China supply is only able to grow at around 5% CAGR until new greenfield projects are announced. The raw wafer suppliers globally remained prudent in capacity expansion. Neither Shin-Etsu nor Sumco has announced new capacity plans, and the only major greenfield is from GlobalWafers on a 10-year supply agreement with [Micron's \\$500m strategic financing support](#). Brownfield capacity can increase, but the potential increase capacity is only ~7% of current total supply. New greenfield projects will require higher returns and new price negotiations. Assuming they will only be announced after contract renewal in 2027, the production will only be available from 2029, resulting in tighter supply and demand through 2027-28. Sumco will not negotiate until end-2027 and is likely to demand significantly higher prices, potentially applying to existing capacity as well. Shin-Etsu is seeking a sustainable long-term price framework closer to a cost-plus price model.

China's domestic wafer market is tightening, reducing the potential for local suppliers to export excess capacity. China has been a major risk in our model ([Silicon wafer shortage in sight... but with a highly risky assumption](#)), but things are improving there: with CXMT and YMTC pursuing accelerated capacity expansion, China domestic wafer demand growth is accelerating to a 24% CAGR, vs. 18% previously. Meanwhile, China wafer supply growth is decelerating to 17% CAGR after multiple years of aggressive expansion, which means Chinese wafer suppliers could have limited room to expand overseas sales. While Chinese wafer suppliers are operating at low utilization of 60+%, their utilization should also rise based on domestic demand alone to 75% in 2028, alleviating their need to address the non-China demand. The impact is more indirectly: as Chinese suppliers continue gaining share in China, they negatively impact the global supplier's China sales (HSD % / low-10s % China exposure for Shin-Etsu / Sumco).

Tactical buying opportunity for Sumco after 43% correction. In our sensitivity analysis, a 20%/40% price hike would drive Sumco's 2028 EPS to ¥324/¥549, implying 9.3x/5.5x P/E currently. While pricing remains uncertain, tactically this could represent a buying opportunity within the next 3 months for hedge funds with shorter-term or more speculative strategies. The issue is that no pricing upside till 2028, as Sumco would not renegotiate its LTAs by then, and any price hike assumption beforehand is uncertain; so we maintain **Market-Perform** and price target of **¥3,290.00** (2x 2027E BVPS).

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	18 Sep 2026	Price Target	TTM	Reported EPS				Reported P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
3436.JP (SUMCO)	M	JPY	3,028.00	3,290.00	60.3%	JPY	(33.61)	(41.59)	64.43	(90.1)	(72.8)	47.0
OLD								(40.64)	70.73			
JPL			2,660.83									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

Sumco: We rate Sumco Market-Perform with a price target of JPY3,290.00.

DETAILS

Since our prior update on the silicon wafer industry, we have seen more positive developments in demand growth and price negotiations:

- **Raw wafer demand growth is accelerating, led by a stronger memory and logic outlook.** We raise our global raw wafer demand forecast to a 14% CAGR in 2025-28, vs. 12% previously, driven by higher DRAM and logic fab capacity. Specifically, we see global DRAM wafer demand growth at 16% (driven by fab capacity), NAND at 14% (driven by CBA wafer stacking; see report [NAND hybrid bonding - the next frontier of advanced packaging](#)), and logic demand growth at 12% (driven by leading edge capacity). Excluding China, we now see the raw wafer market entering shortage from late 2027, with widening gap in the subsequent years.
- **Supply-side changes are incrementally positive**, as global ex-China supply is only able to grow at around 5% CAGR until new greenfield projects are announced. The raw wafer suppliers globally remained prudent in capacity expansion. Neither Shin-Etsu nor Sumco has announced new capacity plans, and the only major greenfield is from GlobalWafers on a 10-year supply agreement with [Micron's \\$500m strategic financing support](#). Brownfield capacity can increase, but the potential increase capacity is only ~7% of current total supply. New greenfield projects will require higher returns and new price negotiations. Assuming they will only be announced after contract renewal in 2027, the production will only be available from 2029, resulting in tighter supply and demand through 2027-28. Sumco will not negotiate until end-2027 and is likely to demand significantly higher prices, potentially applying to existing capacity as well. Shin-Etsu is seeking a sustainable long-term price framework closer to a cost-plus price model.
- **China's domestic wafer market is tightening, reducing the potential for local suppliers to export excess capacity.** China has been a major risk in our model ([Silicon wafer shortage in sight... but with a highly risky assumption](#)), but things are improving there: with CXMT (covered by Mark Li) and YMTC (private; IPO filed in August 2026) pursuing accelerated capacity expansion, China domestic wafer demand growth is accelerating to a 24% CAGR, vs. 18% previously. Meanwhile, China wafer supply growth is decelerating to 17% CAGR after multiple years of aggressive expansion, which means Chinese wafer suppliers could have limited room to expand overseas sales. While Chinese wafer suppliers are operating at low utilization of 60+%, their utilization should also rise based on domestic demand alone to 75% in 2028, alleviating their need to address the non-China demand. The impact is more indirectly: as Chinese suppliers continue gaining share in China, they negatively impact the global supplier's China sales (Shin-Etsu has HSD % revenue exposure to China and Sumco has low teens %, even though majority of them are global players with fabs in China).
- **Tactical buying opportunity for Sumco after 43% correction.** In our sensitivity analysis, a 20%/40% price hike would drive Sumco's 2028 EPS to ¥324/¥549, implying 9.3x/5.5x P/E currently. While pricing remains uncertain, tactically this could represent a buying opportunity within the next 3 months for hedge funds with shorter-term or more speculative strategies. The issue is that no pricing upside till 2028, as Sumco would not renegotiate its LTAs by then, and any price hike assumption beforehand is uncertain. As such, we maintain our **Market-Perform** rating and price target of **¥3,290.00**, based on an unchanged multiple of 2x 2027E BVPS.

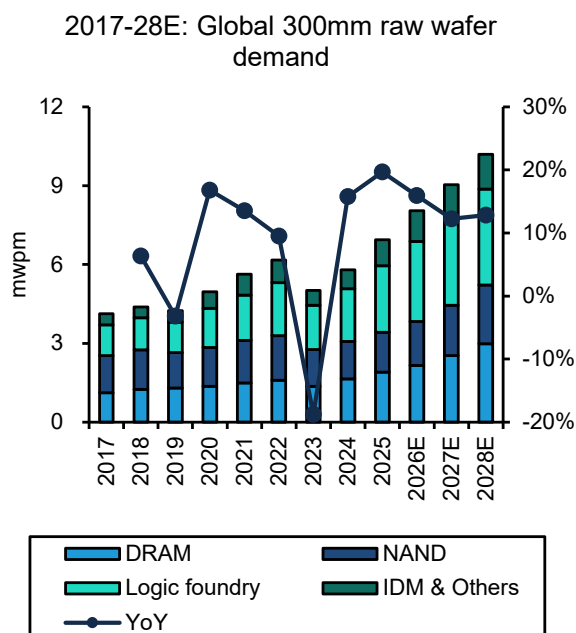
Details below, and our raw silicon wafer supply-demand model is available for download [here](#).

GLOBAL SILICON WAFER DEMAND SEES MID-TEENS % GROWTH

- We forecast global silicon wafer demand to grow at 14% 2025-2028 CAGR, up from our previous forecast of 12% ([Exhibit 1](#)), driven by:
 - **DRAM:** Global DRAM wafer capacity increase is the biggest growth driver, especially HBM which consumes 3-4x wafers per bit compared to DDR5. We forecast global DRAM usage to grow at a 16% CAGR, up from our previous forecast of 12% ([Exhibit 2](#)).
 - **NAND:** While NAND wafer shipments are not growing significantly, NAND is rapidly adopting wafer-to-wafer bonding (CBA), which separately fabricates logic and memory cells on different wafers before bonding them together. We explained this technology in [Global Semis: NAND hybrid bonding - the next frontier of advanced packaging](#). As such, NAND wafer usage is growing at a 14% CAGR, well above wafer output growth ([Exhibit 3](#)).

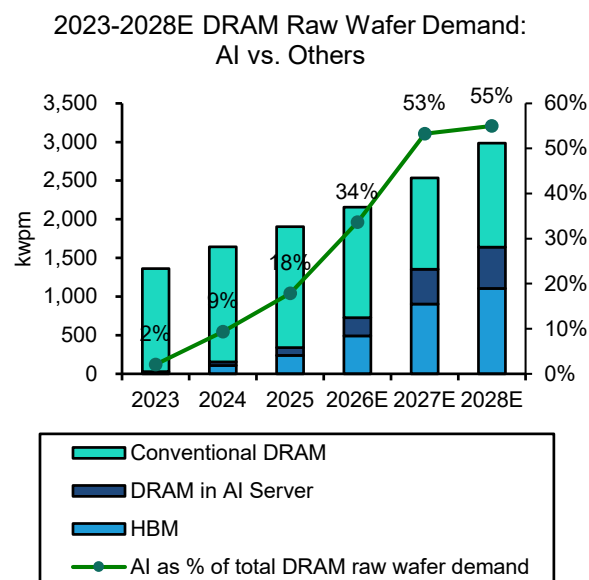
- Logic: While mature logic is seeing limited growth, advanced logic wafer usage is growing rapidly on AI demand, and Backside Power (BSPDN) requires 2 wafers per chip ([Exhibit 4](#)). This was explained in [Global Semis: Backside Power - Advanced packaging to extend Moore's Law](#).
- Looking at China and ex-China separately, China wafer demand growth is much higher at +19%, while ex-China demand growth remains healthy at +11% ([Exhibit 5](#) and [Exhibit 6](#)). This is mostly driven by China's effort to localize semiconductor production, which could be even faster than what we see today.

EXHIBIT 1: 2017-2028E: Global 300mm raw wafer demand

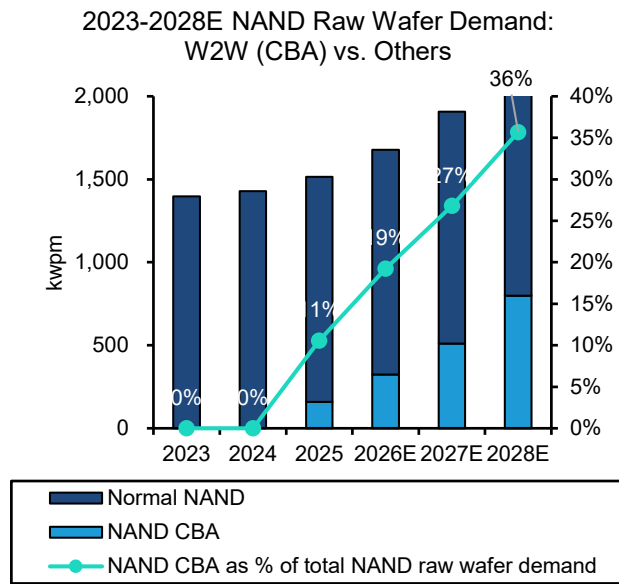


Source: Company disclosures, SEMI, Gartner, DRAmExchange, Bernstein estimates and analysis.

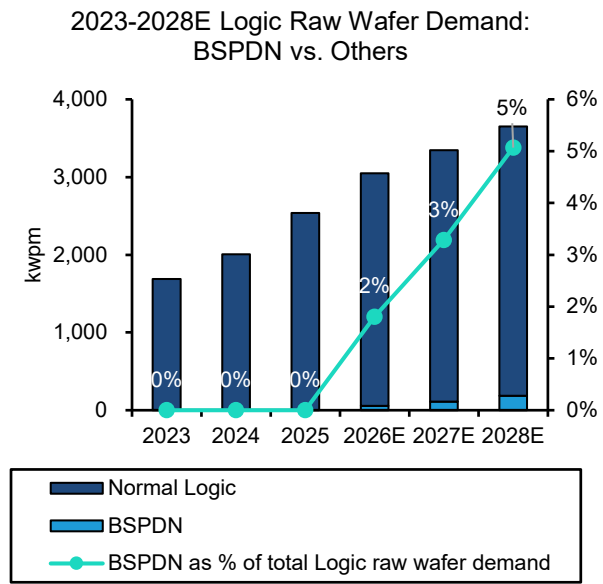
EXHIBIT 2: 2023-2028E DRAM Raw Wafer Demand: AI vs. Others



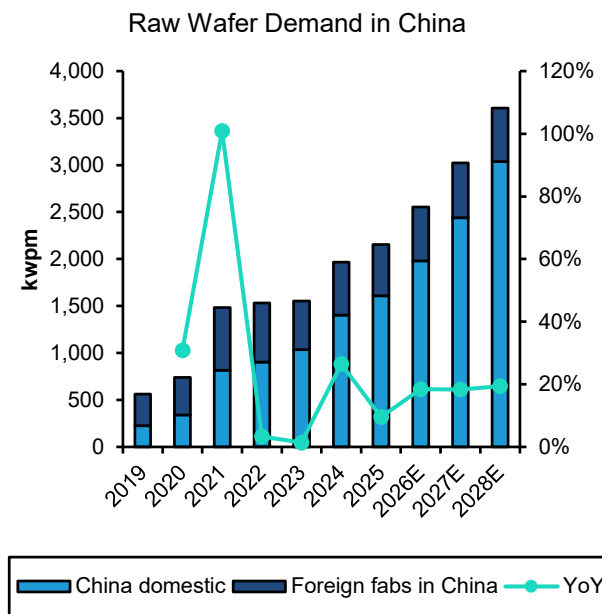
Source: Company disclosures, SEMI, Gartner, DRAmExchange, Bernstein estimates and analysis.

EXHIBIT 3: 2023-2028E NAND Raw Wafer Demand: W2W (CBA) vs. Others

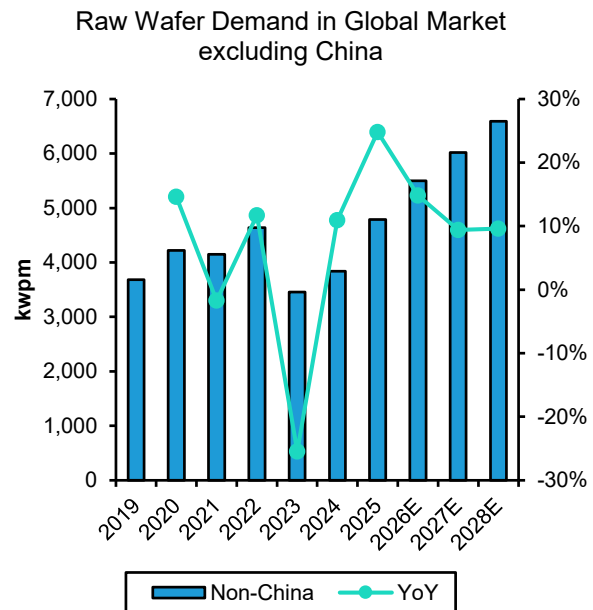
Source: Company disclosures, SEMI, Gartner, DRAMeXchange, Bernstein estimates and analysis.

EXHIBIT 4: 2023-2028E Logic Raw Wafer Demand: BSPDN vs. Others

Source: Company disclosures, SEMI, Gartner, Bernstein estimates and analysis.

EXHIBIT 5: Raw Wafer Demand in China

Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 6: Raw Wafer Demand in Global Market excluding China

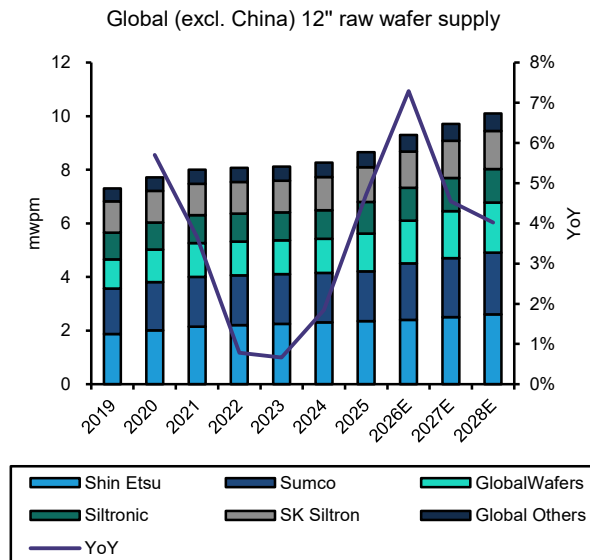
Source: Company disclosures, SEMI, Bernstein estimates and analysis.

GLOBAL EX-CHINA SILICON WAFER SUPPLY ONLY GROWS AT 5% CAGR, DESPITE GLOBALWAFERS-MICRON DEAL

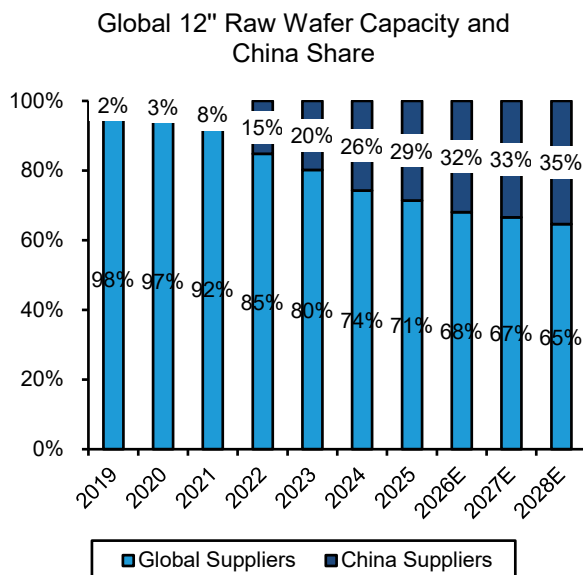
- We forecast global ex-China wafer supply to grow at 5% 2025-2028 CAGR ([Exhibit 7](#)).

- Global ex-China silicon wafer supply is highly concentrated, with the top 5 suppliers accounting for 90+% of market share. Post-COVID oversupply has suppressed capacity expansion plans across the board, with most suppliers pivoting toward technology upgrades and utilization recovery rather than new greenfield builds. Therefore, supply expansion of global vendors remains limited. Potential brownfield capacity over 2025-28 from Shin-Etsu, Sumco, GlobalWafers and Siltronic is only around 380k wafers/month, or 6% of current total supply of these 4 companies. Any further capacity increase will rely on greenfield projects, which will require higher returns and new price negotiations. Sumco will not negotiate until end-2027 and is likely to demand significantly higher prices, potentially applying to existing capacity as well. Shin-Etsu is more conservative, seeking a sustainable long-term price framework closer to a cost-plus price model.
- **GlobalWafers:**
 - GlobalWafers is the only one with sizable projects, dedicated to having 600kwpmm capacity in the U.S. with government subsidy received. It opened its new \$3.5bn 300mm fab in Sherman, Texas in May 2025, the first advanced high-volume 300mm silicon wafer facility in the US. The company is entitled to up to \$406m in CHIPS Act grants for its Texas and Missouri (SOI wafers) projects, of which \$200m was received in mid-2025, with the balance allocated in phases tied to production milestones. GlobalWafers has announced an additional \$4bn U.S. investment for a Phase 2 expansion, and has also entered into a supply agreement with Apple for 300mm wafers from its Texas plant.
 - [Micron's \\$500m strategic financing support to GlobalWafers](#), alongside a 10-year supply agreement for the Sherman, Texas 300mm wafer facility, lowers the funding burden and improves demand visibility for GlobalWafers' up to \$7.5bn U.S. expansion plan.
- **Sumco:** Sumco added 300mm capacity in 2025-26, but has since reversed course on further expansion, [canceling/delaying the construction of two new 300mm silicon wafer plants](#) originally planned for Saga Prefecture (Imari and Yoshinogari), projects that were first announced in 2021. The company's METI subsidy was consequently reduced from the originally planned JPY 75bn to JPY 19.3bn, reflecting the downscaled ambition. Looking ahead, Sumco will not negotiate LTAs until end-2027 and is likely to demand significantly higher prices, potentially applying to existing capacity as well. Before then, Sumco will only focus on technology upgrades and equipment improvements at existing plants to improve capability for leading-edge products, rather than increasing volume.
- **Shin-Etsu and Siltronic** have not yet announced any further expansion plan on 300mm silicon wafer. Shin-Etsu is more conservative, seeking a sustainable long-term price framework closer to a cost-plus price model. Siltronic has a new 300mm factory in Singapore that [inaugurated in 2024](#), but would ramp slowly across several years. **SK Siltron** (private) has been expanding 12-inch wafer capacity at its Gumi complex since 2022, with full-scale operations at the new factory targeting commencement from July 2026, subject to securing KRW 500bn in National Growth Fund support.
- On the other hand, China's wafer supply is projected to expand at a 17% CAGR over 2025-28, significantly faster than the 5% CAGR expected for ex-China supply, despite a deceleration from China's 34% supply CAGR in 2022-25 ([Exhibit 8](#)).
- **National Silicon Industry Group** (NSIG, not covered): NSIG is one of China's largest 12-inch silicon wafer suppliers, with ~850K kwpmm of 300mm capacity as of 2025, and plans to grow reach 1.2mwpm by end of 2026 (vs. original plan of reaching 1.2+ mwpm by end of 2028).
- **Eswin** (not covered): Eswin is also very aggressive: starting from 850K kwpmm as of 2025, it is targeting 1.8+ mwpm by 2030 across its existing Xi'an base, a new Phase II Xi'an facility, and a third plant announced in Wuhan in December 2025. The 2030 target implies a deceleration in capacity growth over 2026-30 vs. the sharp ramp expected in 2025-26. To finance its expansion, Eswin went public on Shanghai STAR Market in October 2025, raising CNY4.6bn.
- Overall, China's raw wafer capacity is already 29% of global total in 2025, and will be 35% in 2028 ([Exhibit 9](#) and [Exhibit 10](#)).

- Due to rapid growth of China capacity, the global silicon wafer supply is growing at 9% CAGR over 2025-28, still slower than the demand growth of 16% CAGR.

EXHIBIT 7: **Global (excl. China) 12" raw wafer supply**

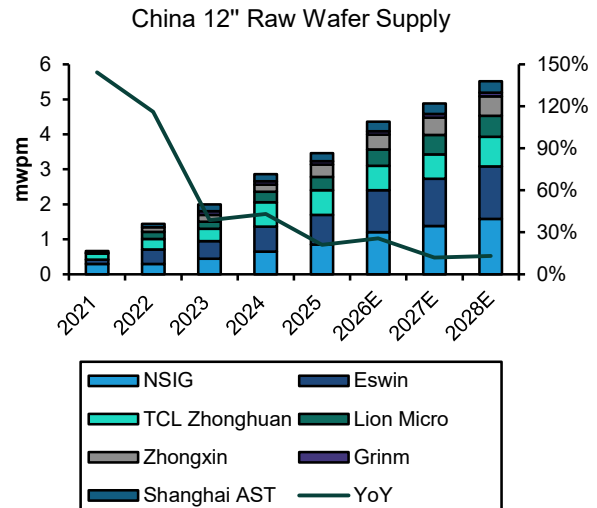
All stocks not covered except for SK Siltron (private) and SUMCO.
Source: Company disclosures, SEMI, Bernstein estimates and analysis.

EXHIBIT 9: **Global 12" Raw Wafer Capacity and China Share**

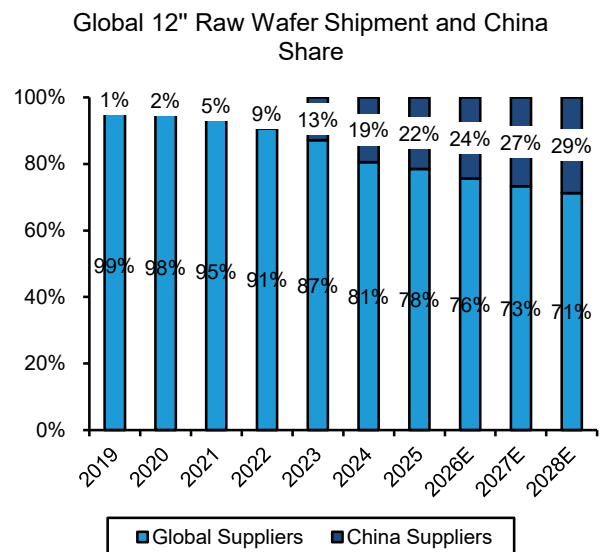
Source: Company disclosures, Bernstein estimates and analysis.

CHINA'S DOMESTIC WAFER MARKET IS TIGHTENING, REDUCING THE POTENTIAL FOR LOCAL SUPPLIERS TO EXPORT EXCESS CAPACITY

- Chinese suppliers are relatively new to the market, having entered only in 2019.

EXHIBIT 8: **China 12" Raw Wafer Supply**

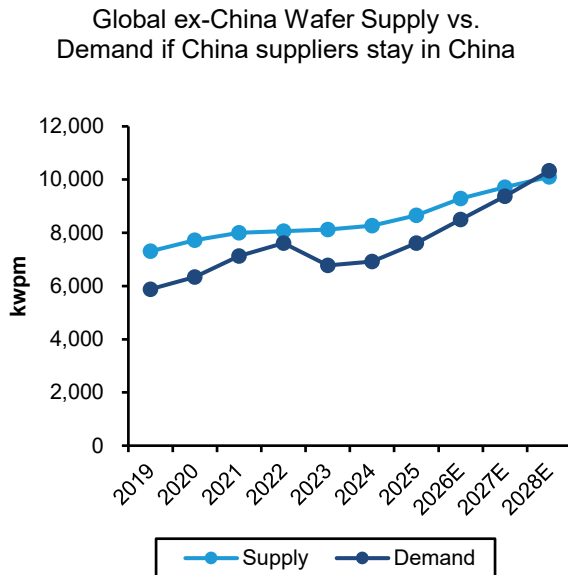
All stocks not covered.
Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 10: **Global 12" Raw Wafer Shipment and China Share**

Source: Company disclosures, SEMI, Bernstein estimates and analysis.

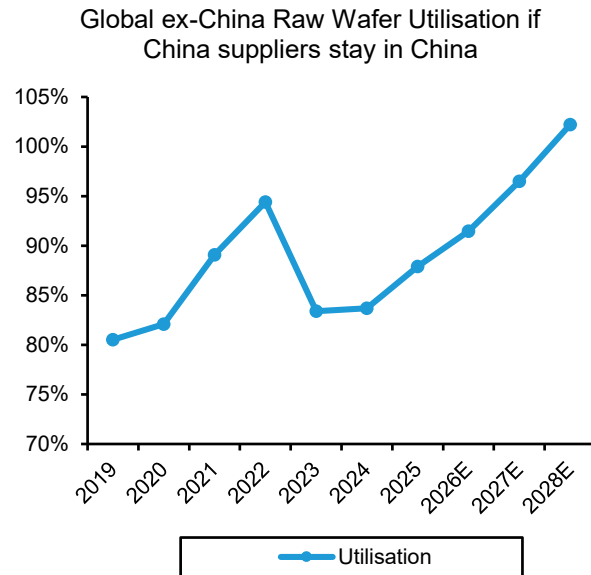
- The current market situation is that Chinese suppliers mainly fulfill domestic demand. They export wafers as well, but those are mainly test wafers instead of prime wafers for production. Assuming China does not address overseas demand growth anytime soon (bull case), Chinese suppliers' shipment growth would track Chinese capacity growth, implying ex-China wafer suppliers' utilization reaches 97% in 2027 and 102% in 2028, resulting in a shortage ([Exhibit 11](#) and [Exhibit 12](#)).
- At this moment, China's domestic wafer market is tightening, reducing the potential for local suppliers to export excess capacity. With CXMT and YMTC pursuing further capacity expansion, China domestic wafer demand growth is accelerating to a 24% CAGR, vs. 18% previously. This outgrows China wafer supply growth of 17% CAGR, which means Chinese wafer suppliers will have limited room to expand overseas sales, in our view.

EXHIBIT 11: **Global Wafer Supply vs. Demand (excluding China) if Chinese suppliers stay in China**



Source: Company disclosures, SEMI, Gartner, DRAmExchange, Bernstein estimates and analysis.

EXHIBIT 12: **Global Raw Wafer Utilisation (excluding China) if Chinese suppliers stay in China**



Source: Company disclosures, SEMI, Gartner, DRAmExchange, Bernstein estimates and analysis.

STOCK IMPLICATIONS: TACTICAL BUYING OPPORTUNITY FOR SUMCO

- We also revised our Sumco model, mainly to reflect the deconsolidation of Formosa Sumco Technology (FMT, 3532.TT, not covered), which represents 14.5% of revenue in 2025. [Sumco reduced its stake in FMT to 38.0% from 43.2% on 20th August](#) and announced that it will no longer consolidate FMT's financials from the end of 3Q26. Accordingly, we have reduced our sales and operating profit forecasts to reflect the deconsolidation, while incorporating Sumco's 38% attributable share of FMT's net profit below the operating-profit line (equity method).
- We also revise up Sumco's 12-inch wafer capacity from 2H26 by 50k wafers per month, as we expect management to unlock additional capacity through yield improvements and efficiency enhancements, including equipment and production-system upgrades, production-line redesign, and better process alignment. For pricing, we incorporate a 10% ASP increase in 2028E, reflecting the tighter supply-demand landscape following LTA renewals in late 2027.
- Net-net, we revise down our 2027E revenue forecast by 5%, while raising our 2028E revenue forecast by 4%. We also lower our 2027E operating profit forecast by 11%, reflecting the lack of economic benefits post-FMT spin-off, but raise our 2028E operating profit forecast by 11.5%, driven by the price hike ([Exhibit 13](#)).
- Pricing is the biggest driver to future earnings. In our base case with a 10% price hike, EPS for 2028 would be ¥212, and the current share price represents 14.3x 2028 P/E which is close to historical average of 16x.
- Tactical buying opportunity for Sumco after 43% correction.** In our sensitivity analysis on Sumco, a 20%/40% price hike would drive Sumco's 2028 EPS to ¥324/¥549, implying 9.3x/5.5x P/E at the current share price ([Exhibit 14](#)). While

pricing remains uncertain, tactically this could represent a buying opportunity within the next 3 months for hedge funds with shorter-term or more speculative strategies.

- The issue is that no pricing upside till 2028, as Sumco would not renegotiate its LTAs by then, and any price hike assumption beforehand is uncertain. As such, we maintain our **Market-Perform** rating and price target of ¥3,290.00, based on an unchanged multiple of 2x 2027E BVPS.

EXHIBIT 13: Sumco: Summary of Estimate Changes

SUMCO: summary of estimate changes	2025	Q1 2026	Q2 2026	Q3 2026E	Q4 2026E	2026E	2027E	2028E
Revenue (JPY bn)								
Bernstein - Old	409.7	101.4	113.6	118.3	120.7	454.0	500.0	553.0
Growth YoY	3.3%	-1.0%	10.4%	19.4%	14.7%	10.8%	10.1%	10.6%
Bernstein - New				120.7	111.5	447.2	473.6	575.8
Growth YoY				21.8%	6.0%	9.2%	5.9%	21.6%
Consensus				118.0	120.2	449.5	488.6	546.9
Growth YoY				19.1%	14.2%	11.0%	8.7%	11.9%
New vs. old				2.0%	-7.6%	-1.5%	-5.3%	4.1%
Bernstein vs. consensus				2.3%	-7.2%	-0.5%	-3.1%	5.3%
Operating profit (JPY bn)								
Bernstein - Old	1.3	-5.3	-1.1	1.2	-0.9	-6.0	41.5	93.4
Growth YoY	-96.4%	N.A	N.A	N.A	N.A	N.A	N.A	124.9%
Margin	0.3%	-5.2%	-1.0%	1.0%	-0.7%	-1.3%	8.3%	16.9%
Bernstein - New				1.2	-1.4	-6.6	37.0	104.1
Growth YoY				N.A	N.A	N.A	N.A	181.4%
Margin				1.0%	-1.3%	-1.5%	7.8%	18.1%
Consensus				-0.2	-1.3	-5.4	45.2	102.7
Growth YoY				N.A	N.A	N.A	N.A	127.1%
Margin				-0.2%	-1.1%	-1.2%	9.3%	18.8%
New vs. old				-1.6%	N.A	N.A	-10.9%	11.5%
Bernstein vs. consensus				-637.9%	N.A	N.A	-18.2%	1.4%
EPS (JPY)								
Bernstein - Old	-33.6	-24.2	-12.7	0.5	-4.3	-40.6	70.7	180.0
Growth YoY	N.A	N.A	N.A	N.A	N.A	N.A	N.A	154.5%
Bernstein - New				0.4	-5.1	-41.6	64.4	211.6
Growth YoY				N.A	N.A	N.A	N.A	228.5%
Consensus				-7.8	-4.8	-40.0	84.1	193.2
Growth YoY				N.A	N.A	N.A	N.A	129.6%
New vs. old				-18.6%	N.A	N.A	-8.9%	17.6%
Bernstein vs. consensus				-105.1%	N.A	N.A	-23.4%	9.5%

Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

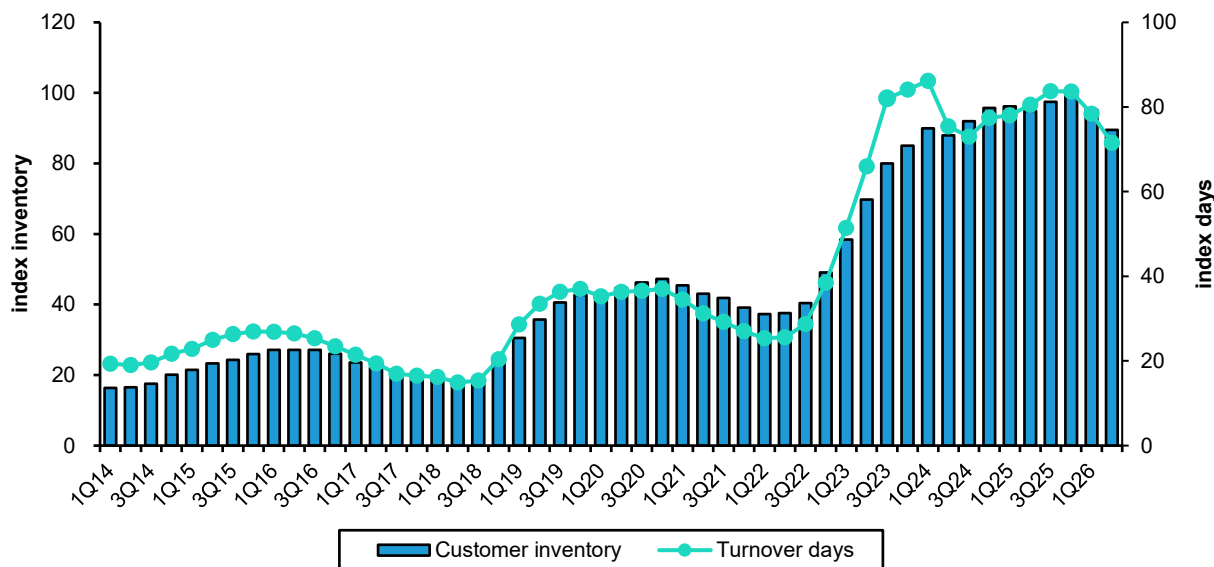
EXHIBIT 14: Sensitivity Analysis of Price Hikes on Sumco's Financials

Sensitivity Analysis on 2028E Financials					
	Base Case				
Price Hike	40.0%	20.0%	10.0%	5.0%	0.0%
Revenue (JPYbn)	733	628	576	550	523
Vs. Base	27.3%	9.1%	0.0%	-4.5%	-9.1%
Operating Profits (JPY bn)	261	156	104	78	52
Vs. Base	150.8%	50.3%	0.0%	-25.1%	-50.3%
Operating Margin	35.6%	24.9%	18.1%	14.2%	9.9%
Vs. Base	17.6%	6.8%	0.0%	-3.9%	-8.2%
EPS	549	324	212	155	99
Vs. Base	159.4%	53.1%	0.0%	-26.6%	-53.1%

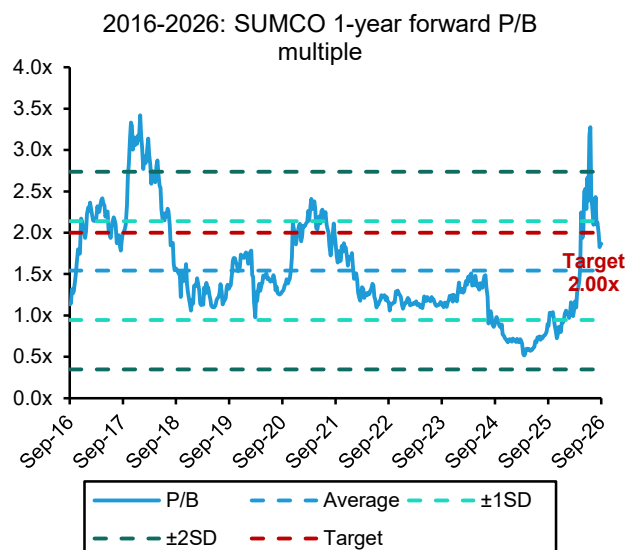
Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 15: **Wafer inventory are declining, suggesting that demand is above the current shipment level**

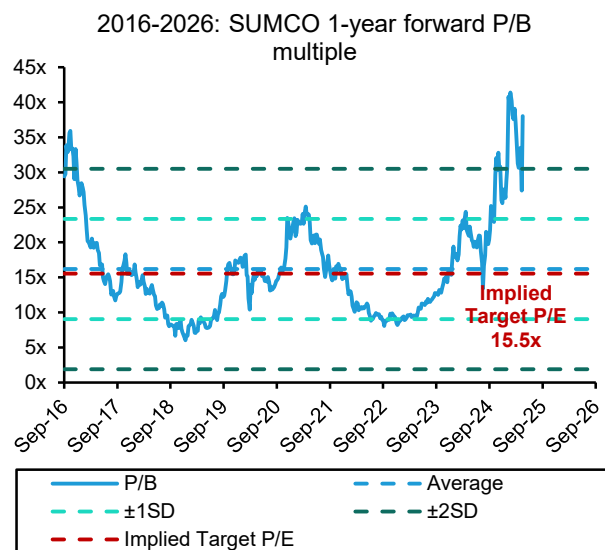
12" wafer indexed inventory and turnover days



Source: SUMCO, Bernstein analysis.

EXHIBIT 16: **SUMCO: Historical 1-year forward P/B**

Source: Bloomberg, Bernstein analysis

EXHIBIT 17: **SUMCO: Historical 1-year forward P/E**Excludes outlier periods when Sumco's earnings are negative or near breakeven.
Source: Bloomberg, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 18: Sumco: Income Statement

JPY bn	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	2027E	2028E
Revenue	409.7	101.4	113.6	120.7	111.5	447.2	473.6	575.8
Gross profit	54.5	8.5	13.5	16.3	12.5	50.8	87.7	162.3
Sales & marketing expenses	45.2	11.7	12.6	13.1	12.1	49.5	42.6	48.9
Research and development	8.0	2.0	2.0	2.0	1.9	7.9	8.1	9.2
Operating profit	1.3	-5.3	-1.1	1.2	-1.4	-6.6	37.0	104.1
EBITDA	112.4	23.4	30.5	32.3	29.8	116.0	150.3	193.9
Non-operating income	-5.5	-2.7	-4.6	-1.0	-0.9	-9.3	-7.5	-6.4
Ordinary income	-4.2	-8.0	-5.7	0.2	-2.3	-15.9	29.5	97.7
Profit before tax	-3.9	-8.0	-4.2	0.2	-2.3	-14.3	29.5	97.7
Income tax expense	6.2	0.7	0.1	0.0	-0.6	0.2	7.0	23.8
Net income	-10.1	-8.7	-4.3	0.1	-1.7	-14.5	22.5	73.9
Net profit attributable to SHs	-11.8	-8.5	-4.4	0.1	-1.8	-14.5	22.5	74.0
Diluted EPS (JPY)	-33.6	-24.2	-12.7	0.4	-5.1	-41.6	64.4	211.6
Margins								
Gross profit	13.3%	8.3%	11.9%	13.5%	11.2%	11.4%	18.5%	28.2%
Operating profit	0.3%	-5.2%	-1.0%	1.0%	-1.3%	-1.5%	7.8%	18.1%
EBITDA	27.4%	23.1%	26.8%	26.7%	26.7%	25.9%	31.7%	33.7%
Profit before tax	-0.9%	-7.9%	-3.7%	0.1%	-2.1%	-3.2%	6.2%	17.0%
Net income	-2.9%	-8.4%	-3.9%	0.1%	-1.6%	-3.3%	4.8%	12.9%
Growth YoY								
Revenue	3.3%	-1.0%	10.4%	21.8%	6.0%	9.2%	5.9%	21.6%
Gross profit	-25.1%	-55.5%	-26.3%	72.8%	61.5%	-6.8%	72.7%	85.1%
Operating profit	-96.4%	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	181.4%
EBITDA	-1.4%	-18.2%	10.9%	18.2%	2.7%	3.2%	29.6%	29.0%
Profit before tax	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	230.8%
Net income	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	228.5%

Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 19: Sumco: Balance Sheet

JPY bn	2022	2023	2024	2025	2026E	2027E	2028E
Cash and cash equivalents	259.3	156.4	95.7	75.3	106.9	185.8	229.9
Accounts receivable	90.0	82.9	92.5	90.0	98.2	104.0	126.5
Inventories	182.4	218.4	233.3	250.6	279.8	272.3	291.8
Others	11.9	16.2	13.7	11.4	11.4	11.4	11.4
Total current assets	543.6	473.8	435.1	427.4	496.3	573.6	659.7
Property, plant and equipment, net	300.4	552.0	692.4	663.4	580.0	516.7	497.0
Long-term investments	0.1	2.0	2.4	2.9	2.9	2.9	2.9
Investments and other assets	48.5	45.2	42.8	34.3	34.3	34.3	34.3
Total assets	892.6	1,073.1	1,172.7	1,128.0	1,113.5	1,127.5	1,193.8
Accounts payable and accrued expenses	58.7	44.5	34.2	35.5	39.7	38.6	41.4
Debt and capital lease obligations-current	30.7	34.1	41.6	41.3	41.3	41.3	41.3
Other current liabilities	67.9	125.9	87.8	56.3	56.3	56.3	56.3
Total current liabilities	157.2	204.5	163.6	133.1	137.2	136.2	138.9
Debt and capital lease obligations-non-currer	100.7	190.1	312.0	312.2	312.2	312.2	312.2
Other non-current liabilities	43.1	42.9	39.8	34.9	34.9	34.9	34.9
Total liabilities	301.1	437.6	515.4	480.2	484.3	483.3	486.0
Shareholders' equity	591.5	635.5	657.2	647.8	629.2	644.3	707.8
Total liabilities & shareholders' equity	892.6	1,073.1	1,172.7	1,128.0	1,113.5	1,127.5	1,193.8

Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 20: **Sumco: Cash Flow Statement**

JPY bn	2022	2023	2024	2025	2026E	2027E	2028E
Net income	70.2	63.9	19.9	-11.8	-14.5	22.5	74.0
Depreciation & amortization and others	59.8	71.6	79.0	115.7	137.3	113.3	89.8
Changes in working capital	-13.1	-9.7	-25.0	-13.9	-33.2	0.6	-39.2
Taxes, other adjustments	62.5	-29.4	-4.3	10.0	0.0	0.0	0.0
Cash flow from operations	179.5	96.3	69.6	100.0	89.5	136.4	124.6
Capex	-125.5	-256.9	-247.2	-111.0	-53.9	-50.0	-70.0
Other	-0.9	9.2	-0.6	-0.4	0.0	0.0	0.0
Cash flow from investments	-126.4	-247.7	-247.9	-111.4	-53.9	-50.0	-70.0
Cash flow from financing	-23.2	43.5	112.3	-8.7	-4.0	-7.5	-10.5
Net effect of exchange rate changes	4.7	4.9	5.3	-0.2	0.0	0.0	0.0
Net change in cash	34.6	-103.0	-60.7	-20.4	31.6	78.9	44.1

Source: Company disclosures, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Sumco Corp**

We set a ¥3,290 target price using a P/B multiple of 2x against our 2027 BVPS estimate of ¥1,644.

RISKS**Sumco Corp**

Upside risks to our SUMCO target price: (1) Stronger global economy impacting the electronics demand and hence stronger wafers demand (2) Faster pace of inventory digestion (3) Favorable exchange rate fluctuation. Downside risks: (1) Weaker global economy impacting the electronics demand and hence weaker wafers demand (2) Slower pace of inventory digestion (3) Faster pace of Chinese competitors catching up (4) Unfavorable exchange rate fluctuation.

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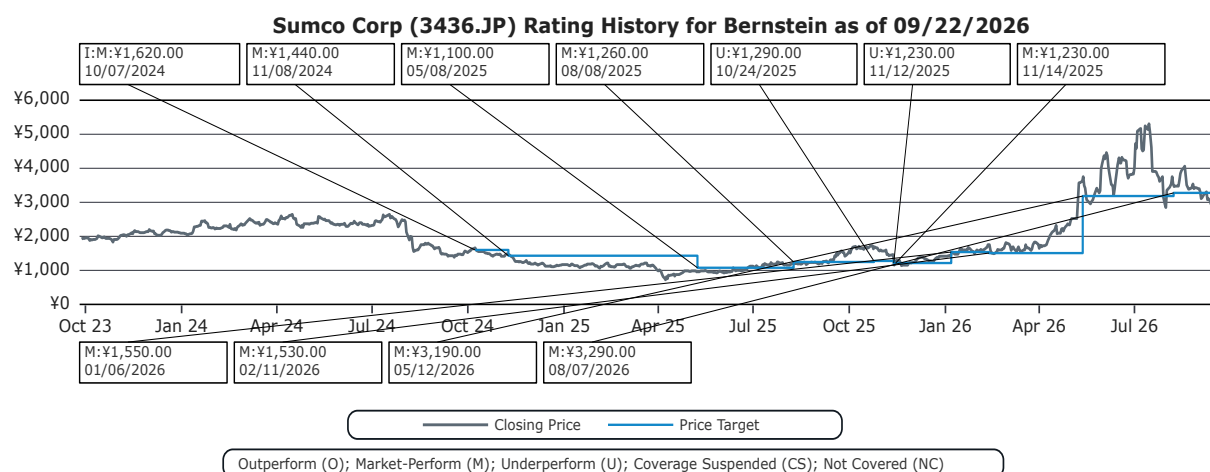
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